

only worthwhile financial innovation of the past 20 years was the automated teller machine.

BETTER LIVING THROUGH FINANCE

To be fair, there have been some useful things that have come from the world of finance over the past 75 years. First was the idea that to reduce substantially the company-specific risks inherent in holding equities, one should construct portfolios of at least 25 to 30 diverse stocks. Getting rid of diversifiable risk this way is as close as one can get to a free lunch with respect to investing. This realization helped spur the popularity of mutual funds and other pooled investment vehicles. According to the Investment Company Institute, there were only 170 mutual funds in 1965 with \$35 billion in assets. By 2012, there were 7,596 funds with over \$13 trillion in assets.¹²

The second important finding of modern finance was greater awareness of the high price that investors pay for professional investment management. Much of the time, benefits do not justify the costs involved. Modern finance theory and empirical testing led directly to the development of index funds, which have been of great benefit to those who have been receptive to them.

The third important development in modern finance came from the field of psychology. Behavioral finance can explain many of the inconsistencies we see between financial theory and practice. It can also help investors better understand their unrewarded psychological tendencies and serve as a guideline for more enlightened behavior.

The fourth beneficial finding of modern finance is momentum as first presented in a systematic way by Cowles and Jones in 1937. Since then, researchers have validated its usefulness in hundreds of subsequent studies. While academics remained busy engineering more complex ways to model financial markets, simple momentum has stood the test of time as the premier market anomaly.